



Business Analysis & Valuation Eicher Motors Ltd

Company Overview

Introduction

Eicher Motors Limited (EML) is an Indian, multinational automotive company that has diversified interests in motorcycle and commercial vehicles manufacturing. The company is engaged in the manufacturing and selling of motorcycles, spare parts and related services. It manufactures the iconic 'Royal Enfield' brand of motorcycles, which leads the premium motorcycle segment in India. Royal Enfield (RE) is the oldest motorcycle brand having the production worldwide since 1901. EML's 50-50 joint venture with the Sweden's AB Volvo ,VE Commercial Vehicles Limited (VECV) is a joint venture between the Volvo Group and Eicher Motors Ltd which is in operation since July 2008. The company includes the complete range of Eicher branded trucks and buses, VE Powertrain, Eicher's components and engineering design services businesses, the sales and distribution business of Volvo Trucks as well as aftermarket support to Volvo Buses in India.

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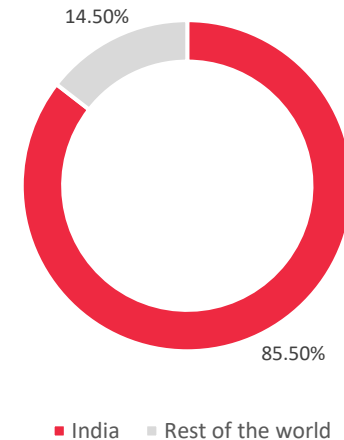
Product Portfolio

Royal Enfield's premium line-up includes Bear 650, Classic 650, Guerrilla 450 modern roadster, Hunter 350, Meteor 350, Super Meteor 650, Interceptor 650 and Continental GT 650 twins, the Shotgun 650, the new Himalayan adventure tourer, the Scram 440 ADV Crossover, the iconic Bullet 350, Classic 350 and Goan Classic 350. The company recently unveiled its new EV motorcycle brand – the Flying Flea.

Business Presence

Royal Enfield operates through more than 2000 stores across all major cities and towns in India and through nearly 850 stores in more than 60 countries around the globe. RE also has two world-class technical centres, one, in Bruntingthorpe, UK, and the other in Chennai, India. The company's two state-of-the-art production facilities are located at Oragadam and Vallam Vadagal, near Chennai. Apart from this, RE has six modern CKD assembly facilities in Bangladesh, Nepal, Brazil, Thailand, Argentina and Colombia.

Location Wise Breakup



Share Price Performance



Global Economy

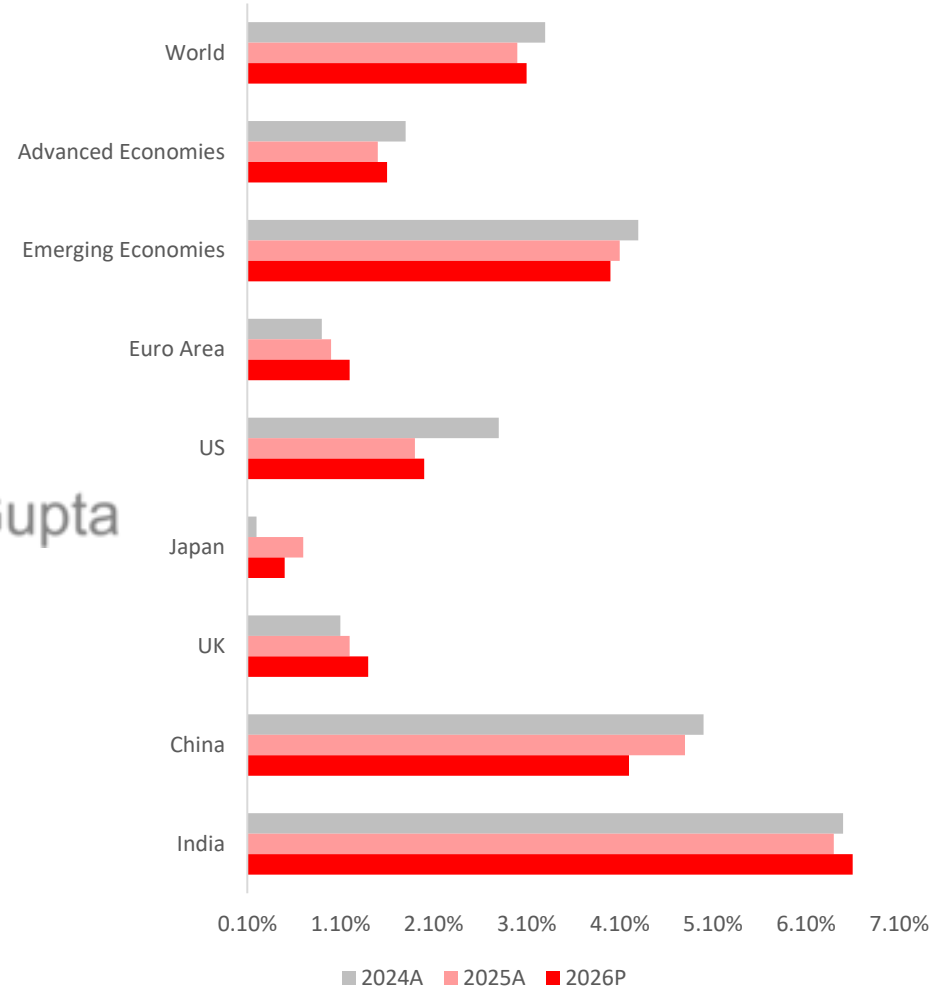
Overview

The global economy has not been doing well in recent times, mainly due to geopolitical tensions and uncertainty around tariffs. As per IMF's report, global growth is projected at 3% for CY25 and 3.1% for CY26. The forecast for 2025 is 0.2% point higher than that in the reference forecast of the April 2025 World Economic Outlook (WEO) and 0.1% point higher for 2026 which reflects stronger-than-expected front-loading in anticipation of higher tariffs; lower average effective US tariff rates than announced in April; an improvement in financial conditions, including due to a weaker US dollar; and fiscal expansion in some major jurisdictions. Global headline inflation is expected to fall to 4.2% in 2025 and 3.6% in 2026, a path similar to the one projected in April.

Growth in advanced economies is projected to be 1.5% in CY25 and 1.6% in CY26. In the United States, with tariff rates settling at lower levels than those announced on April 2 and looser financial conditions, the economy is projected to expand at a rate of 1.9% in 2025.

In the euro area, growth is expected to accelerate to 1.0% in 2025 and to 1.2% in 2026. This is an upward revision of 0.2% point for 2025, but it is largely driven by the strong GDP outturn in Ireland in the first quarter of the year. In emerging market and developing economies, growth is expected to be 4.1% in 2025 and 4.0% in 2026. Relative to the forecast in April, growth in 2025 for China is revised upward by 0.8% point to 4.8%.

Global GDP Predictions



Indian Economy

Overview

Despite a volatile global economic landscape, the Indian economy became world's 4th largest economy surpassing Japan (as of July 2025). For FY26, the International Monetary Fund (IMF) has projected a growth rate of 6.6%, citing a robust 7.8% expansion in the first quarter that helped cushion the economy from global headwinds. The World Bank has forecasted 6.5%, supported by firm consumption, public investment, and structural reforms. The RBI is more confident, expecting growth closer to 6.8% on the strength of domestic fundamentals.

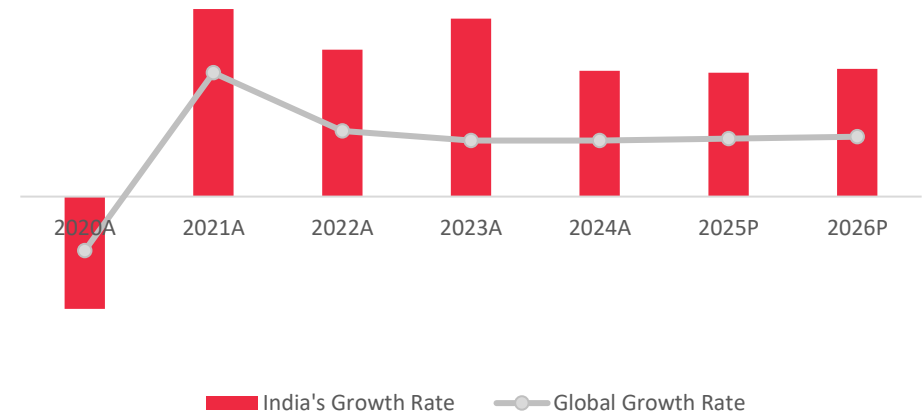
The real GDP growth of 8.2% in the Q2 comes after the 7.8% expansion in the Q1. India's growth continues to outpace that of other major economies, such as Indonesia, which expanded by 5%, and China, which grew by 4.8% in the Q2.

India's growth story looks promising driven by robust expansion in manufacturing and services, supported by festive demand and GST rate cuts. The cumulative GST collection growth of 9% for the April to October period of 2025 indicates that the underlying revenue stream has remained strong, aided by firm consumption and improved compliance.

Improving price dynamics and tax reforms are expected to boost household disposable incomes, strengthening the near-term consumption outlook. Further, the healthy corporate sector balance sheets augur well for sustained private investments in the H2 FY26.

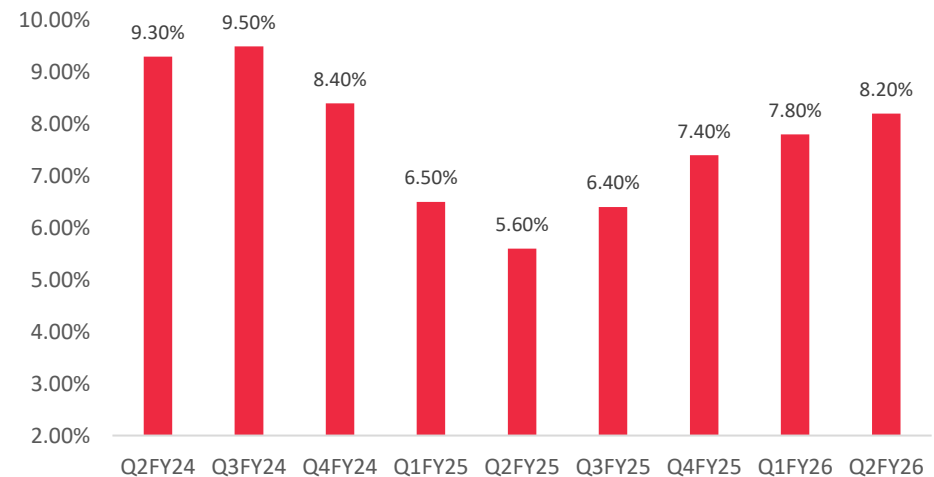
Source: Mint

India vs Global GDP Growth



Source: IMF & WORLD BANK

India's Quarterly GDP Growth



Source: MOPSI

Indian Two-wheeler Industry

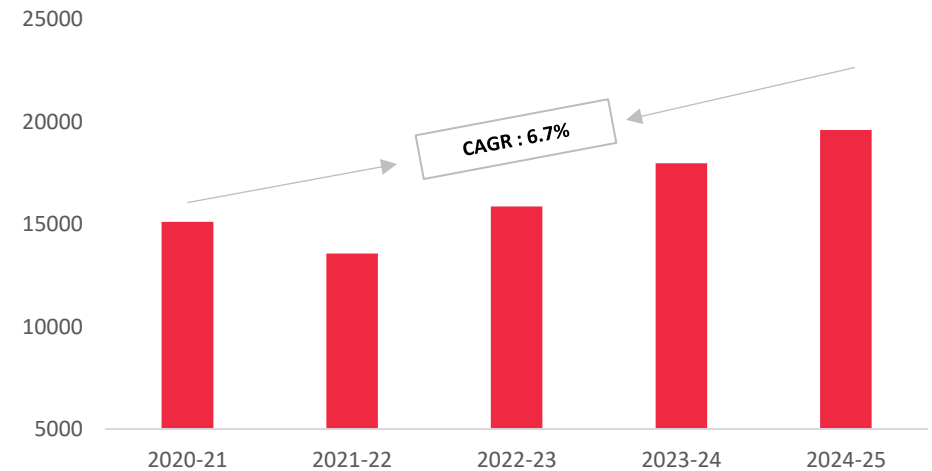
Overview

According to the Society of Indian Automobile Manufacturers (SIAM), the two-wheeler industry sustained its recovery trajectory, registering a strong growth of 9.1% in domestic sales, reaching 19.6mn units in FY 2024-25. This growth was primarily driven by improved rural demand and an increase in consumer confidence. Within the two-wheeler industry, the scooters segment grew by 17.4% and the motorcycles segment grew by 5.1% in FY 2024-25 to 12.3mn units. The motorcycles in the above 125cc segment grew by 6.7%, reaching a total of 3.0mn units, which accounts for 24.4% of the overall motorcycle market, compared to 24.1% in fiscal year 2023-24. The above 250cc segment grew by 9.9% in FY 2024-25 to 1.0mn units and is now 8.5% of the overall motorcycles (8.1% in FY 2023-24).

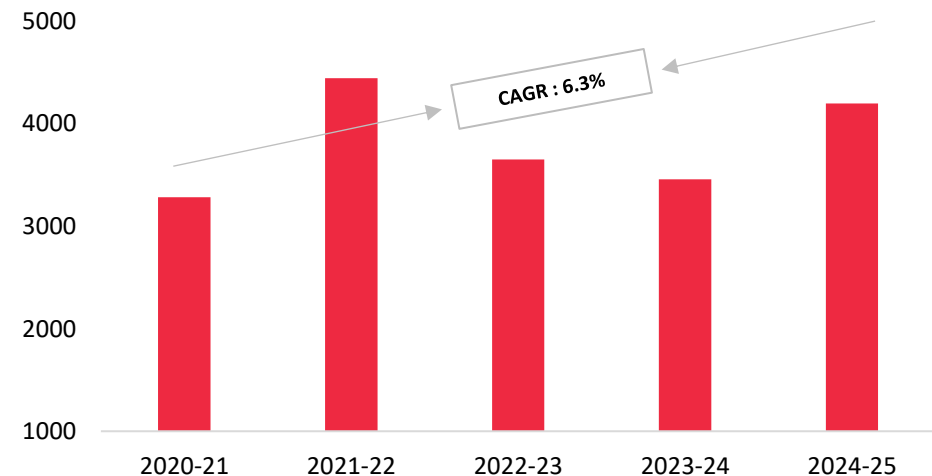
Electric two-wheelers also gained significant traction growing 21.6% to 1.2mn units, with their share in overall two-wheeler sales reaching 6.7% in FY2024-25. Further, the center has launched the PM E-DRIVE scheme with a budget of US\$ 1.30 billion (Rs. 10,900 crore), effective from October 1, 2024, to March 31, 2026. This initiative aims to accelerate the adoption of electric vehicles (EVs), establish charging infrastructure, and develop an EV manufacturing ecosystem in India.

As per Kearney, the India's two-wheeler industry to grow at 6–8% annually until 2030, driven by increased household penetration, rising incomes, and electric vehicle adoption.

Two Wheeler Domestic Sales (Units in '000)



Two Wheeler Exports (Units in '000)



Eicher Motors Ltd – Growth Story

Capacity Expansion

Eicher Motors has been doing capex over the years amounting to around 5% of sales. For the year 2025, the company did a capex outflow of ~1000 crores and Asset turnover of 0.7x. Going ahead, for the year 2026, the management has given capex guidance of ~1200 - 1300 crores. The majority of this capex is to be invested towards EV growth. Apart from this , Royal Enfield has been debottlenecking and expanding modular capacity: base capacity was ~1.2m pa, ramped up to ~1.3–1.35m through debottlenecking and interim modules, and management has kicked off an additional module (to come into existence from Q1 next year) to meet rising 350cc demand.

The VECV is planning to manufacture Volvo Group’s Industry Leading Automated Manual Transmissions (AMT) in India for which it announced an investment of INR 544 crores. This investment will establish a greenfield factory at the Vikram Udyogpuri Integrated Industrial Township, Madhya Pradesh. This new AMT facility will have an initial capacity to produce up to 40,000 units p.a.

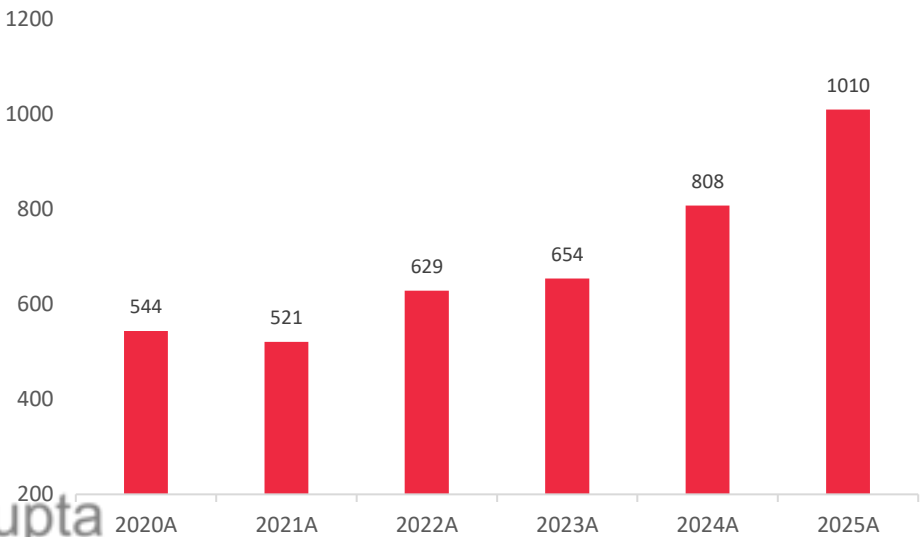
Market Dominance

RE leads the mid-size segment in India with 84% market share (as of H1FY26). It continues to maintain this dominance with constant new launches, and therefore, it has been coming up with new variants of its mid sized segment motorcycles in order to attract younger audience and up to some extent has been successful in doing so.

Emerging market expansion

EML continues to expand its global footprint through strategic CKD operations, new market entries, and global product launches. With a growing brand presence in markets like Brazil, Thailand, Argentina and the UK, RE is deepening its international relevance.

CAPEX (in Crores)



Digitisation of mobility experience

EML is embedding digital intelligence across the value chain. Royal Enfield is expanding the capabilities of the RE App, improving digital retail journeys, and integrating AI-led tools for consumer insights.

VECV continues to lead in connected commercial vehicles, with end-to-end digital platforms for fleet performance, uptime monitoring, and predictive maintenance.

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Financials

Revenue

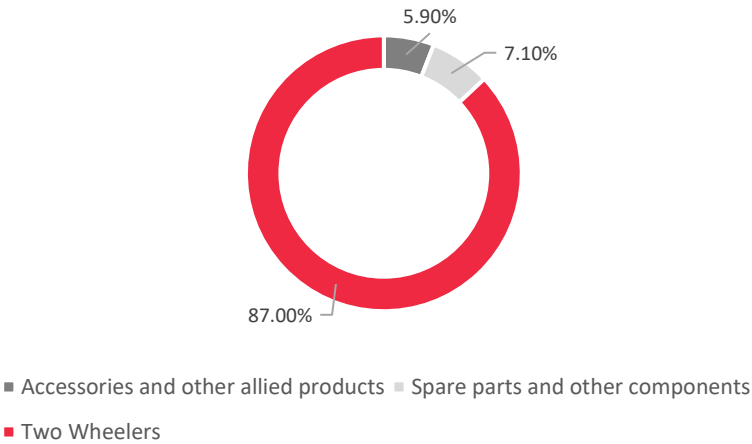
The company has posted revenue of INR 18,870 crores in FY2025. The revenue has been grown at a CAGR of 22.4% and 15.6% during the last 3 and 5 years respectively. Despite the muted growth in motorcycle industry, the company has been able to post a decent growth. The management is committed to outgrow the motorcycle industry in the long run and as a result, the company has been launching new motorcycle models from time to time. The company has also been spending a decent amount on its marketing activities in order to attract younger generations. Apart from the RE segment, the company's VECV segment has also been showing strong growth both in domestic and international markets. The company is planning to accelerate growth in its HD truck business and is thus aiming to achieve 15% market share in next three years. Further, it is aiming for operating profit of 10% in VECV segment in FY26.

The analyst's consensus growth for FY26 is INR 21,915 crores which is 16% growth over the FY2025 revenues of INR 18,870 crores.

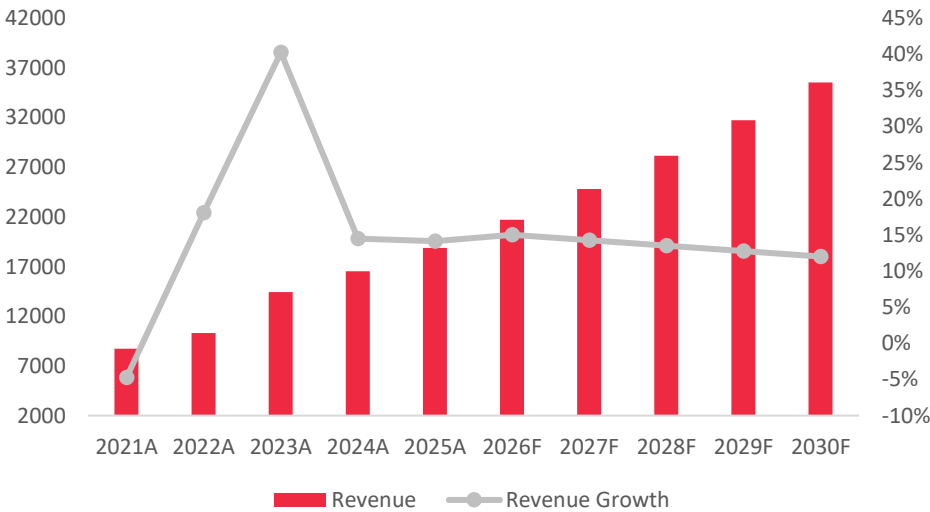
Considering the muted growth in motorcycle industry and fluctuating commodity prices, we assume that the company would maintain growth around mid teens, that is, around 13-15%, due to the measures it has taken to boost its growth like marketing activities and further the company has planned capex of around INR 1200 - 1300 crores for FY26 which is mostly toward investment in its EV business.

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Product Wise Revenue Breakup



Revenue Growth



Financials

Gross Margins

During FY25, gross margins declined by 30 bps to 45.4% due to fluctuations in commodity prices. Despite these fluctuation, gross margins remain stabled around 45% due to initiatives taken by company to mitigate the impact of rising input cost such as value engineering and strategic price adjustments.

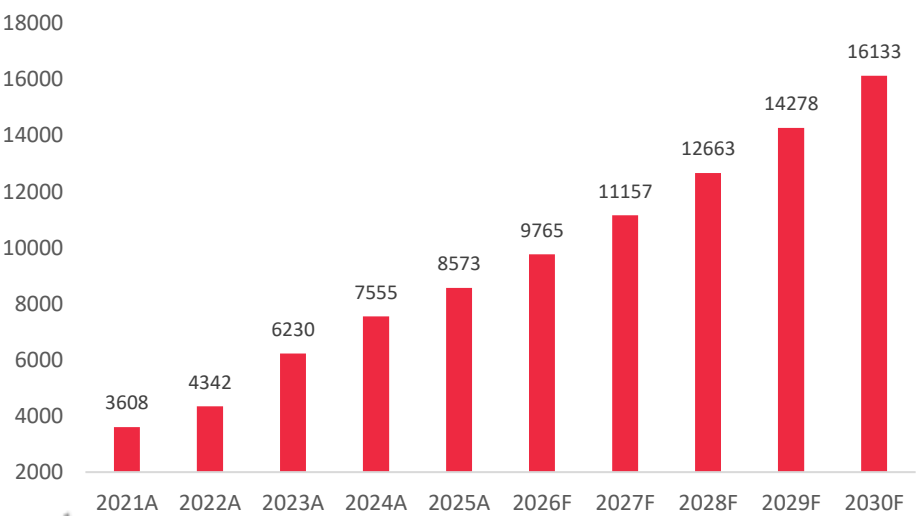
The raw material constitutes ~ 90%+ of the total cost of goods sold and ~ 50% of the revenue. The cost of raw material is mainly steel prices.

In India, raw material prices are becoming more rigid with the full impact of cumulative rises expected in the third and fourth quarters of this fiscal year. The primary materials used in the automotive industry are steel, aluminum, copper, and rubber. In the past six months, steel has increased by 30%, aluminum by 40%, and copper by 77%. However, during August and October , the cost of main raw materials increased by 9% year over year, with the price of steel and iron increasing the highest.

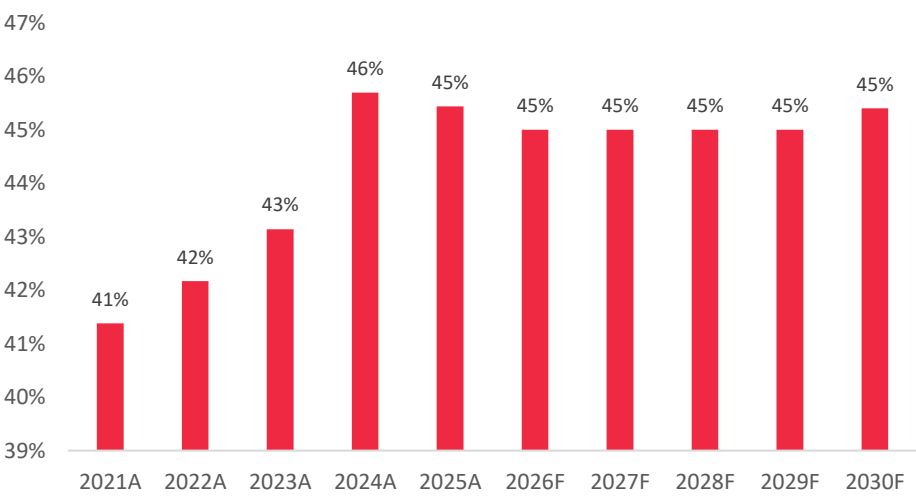
While historically, the company has posted gross margin of ~ 45% and ~ 48% with median of 45.4% in the last 7 years. Basis our research, the gross margin posted by auto & truck sector in India was 39.15%, by the sector in global emerging market was 21.05% and global sector margin was 18.34%.

The reduction in margin during FY25 was majorly due to fluctuation in commodity prices , we assume that margin will be ~45% in short term which is also inline with street estimate of ~42.6%.

Gross Profit



Gross Margins



Financials

SG&A Expenses

During FY25, the company had reported EBITDA margin of 25% which is a 120-bps decline from FY24 margins. The reason for this decline is the increase price of commodities in the first half of FY25. The management is focusing strongly on cost reduction and value engineering to keep the margins stable. Further, the management do not give any guidance on EBITDA margins and focuses on absolute growth.

Basis our research, we have identified that historically, SG&A expenses is 20.5% of revenue where four expenses viz Employee Benefit , Consumption of Stores and machinery spares, Freight and handling charges and Selling and Distribution Expenses constitute 71.1% of total SG&A Expenses. These four key expenses are directly linked with sales.

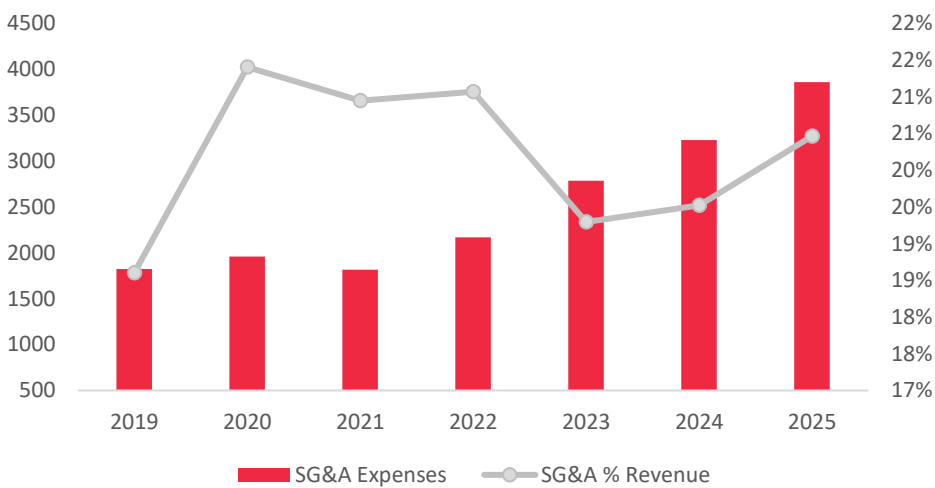
We assume that total SG&A expenses to remain at 19.7% level as a percentage of revenues which is almost aligned with street estimates.

Inventory

The company is very cautious regarding the inventory levels and hence follows a replenishment model instead of stocking up the inventory. In this replenishment model , wherever the inventory is below the replenishment norm level, the company's focus is to build back the inventory to that norm quantity.

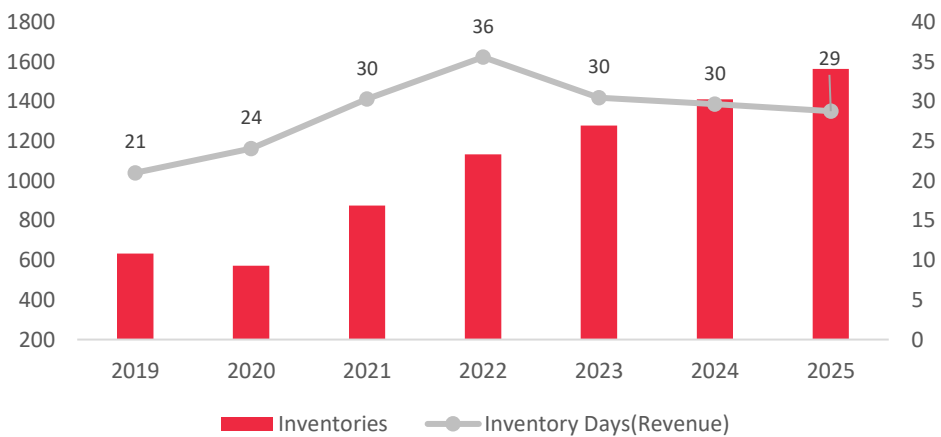
Historically, the company is maintaining inventory levels at ~8.2% of revenues with Inventory turnover ratio being consistent around 12.2x and inventory days of 30. The peer companies in the market maintains inventory of 28 days which is almost in line with the 5-year historical inventory days of the company. Further, the street estimates suggest the inventory levels to remain on a slightly lower side from existing inventory levels, that is, inventory days would be around 26 days as compared to 29 days.

SG&A % Revenue



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Inventory Days



We assume inventory levels to be flat going ahead. Though, the company is coming up with new launches on a regular basis, but it does not pile up the inventory instead focuses on replenishment model.

Financials

Trade Receivables

The company has median trade receivable of 9 days which is better amongst all its peers. Hence, this reflects the robust collection mechanism of the company. In FY25, the company saw an increase of 47% in trade receivable due to higher export volumes. Export sales carry credit periods range from 0 to 270 days.

Historically, the company is maintaining receivable levels at ~2.2% of the revenues with median receivable turnover ratio of ~41.69x and inventory days at 30. The peer companies in the market maintain receivable of 15 days which is slightly higher than the 5-year historical receivable days of the company. Further, street estimates suggest the receivable levels to remain slightly higher from existing receivable days with consensus estimate of 12.7 days.

We assume our receivable levels to be slightly high around 12 days for a couple of years and then gradually declining back to 10 days.

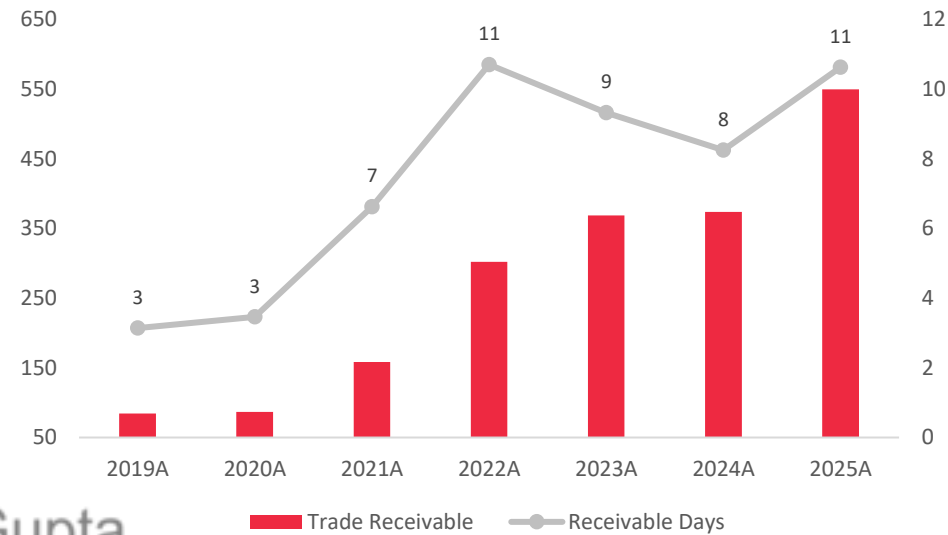
Trade Payables

The company has median trade payable of 89 days. From past three years , company's trade payable days has been rising slowly and are now back at pre covid levels. The trade payable is consistently ~24% of COGS and ~13% of Revenue.

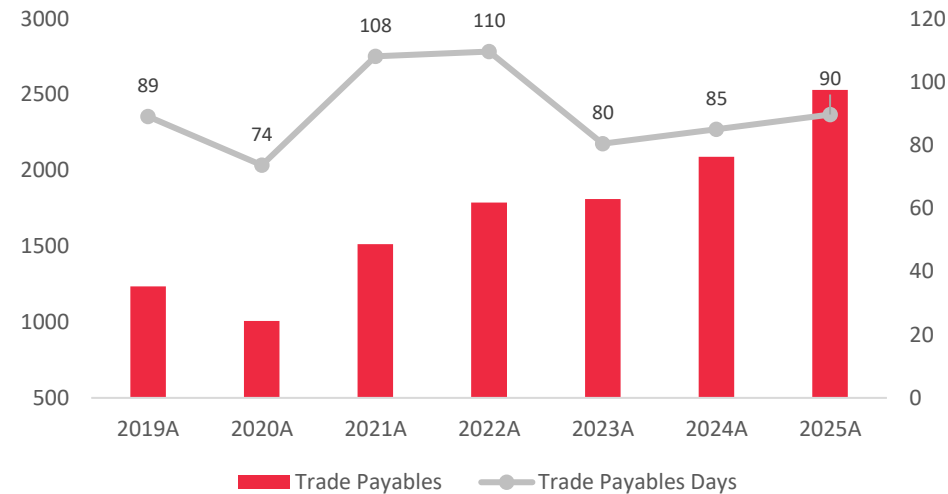
The peer companies in the market maintain payable of 83 days which is slightly lower than the 6-year historical payable days of the company. Further, street estimates suggest the payable levels to remain flat from existing payable days with consensus estimate of 90 days.

In absence of management guidance and basis our research, we assume the payable days to remain flat at 90 days.

Trade Receivable Days



Trade Payable Days



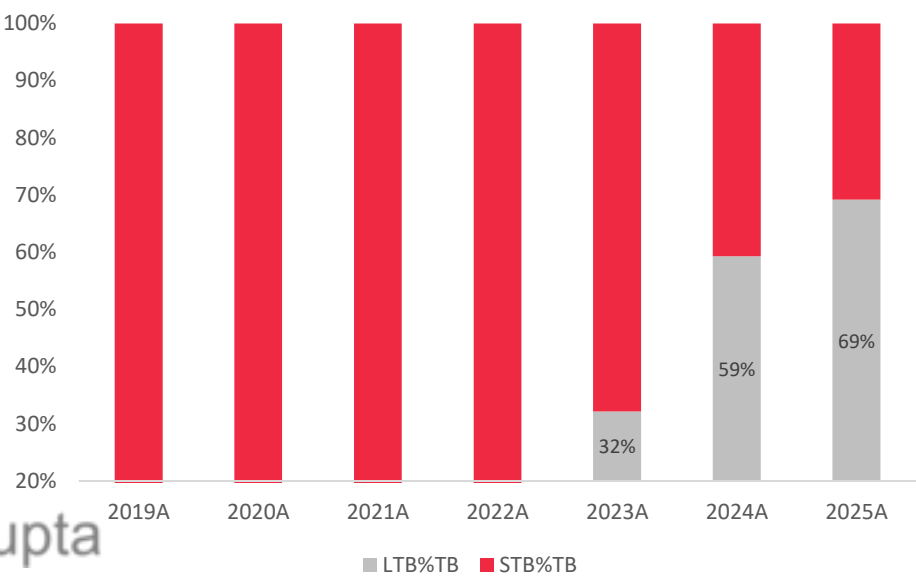
Financials

Borrowings

Historically, the company had 100% short term borrowings and no long-term borrowings. The company took long-term borrowing for the very first time in CY23. The company has very minimal borrowings as compared to its peers. Further, this depicts that most of the operational activities of the company are internally funded. Over the years, the Debt to Equity, Debt to Capital and Debt to Asset ratios are consistent at 0.01x and Debt to EBITDA ratio is consistent at 0.06x.

In absence of management guidance and basis our research, we assume the LT debt to grow at 1% of the revenue for the next year and then eventually decline to 0.1% and ST debt to grow at 0.7% of the revenue respectively.

Long Term and Short Term Borrowings



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Valuation

Objective

The objective is to reach at the intrinsic value of EML's stock. The analysis aims to assess the company's worth basis its ability to generate cash flows, future growth and risk associated with the business. We have carefully considered management's guidance while performing the analysis.

Valuation Methodology

There are primarily three approaches in Valuation (viz., cost Approach, Market Approach, Income Approach). For any valuation, all the approaches may not be relevant and therefore, will not give a fair estimate of value. Hence, the approach most suitable for specific business/company must be applied in the valuation exercise based on common practices.

The three approaches generally adopted in valuation are as under:

- Market Approach: Comparable Companies Method and Comparable Transaction Method.
- Income Approach: Discounted Cash Flow Method.
- Asset Approach: Net Asset Value Method.

Market Approach

Under this method, we measure the value of business of the company by applying the market multiples of listed companies which trade actively and possess attributes similar and comparable with the target company. This methodology is based on the principle that such market pricing, taking place between informed buyers and informed sellers while taking into account all the relevant factors.

Not all multiples are applicable to every company. Therefore, the relevant multiples should be chosen carefully and adjusted for differences between the comparable. For the purpose of valuation of EML, we have chosen EV/EBITDA multiple.

Asset Approach

Under this approach, the value of business is derived basis difference between the value of assets and liabilities. This approach focuses on determining the value of net assets from the perspective of equity valuation. The value of net assets can be determined as follows; Net assets = Total Assets – Total External Liabilities. The value of net assets is also known as Total Equity.

Income Approach

Under this approach, the value of business is derived by considering free cash flows, future growth and weighted average cost of capital which signifies risk.

There are four major steps in Income Approach:

- Forecasting future cash flows for explicit growth period.
- Discounting these cash flows to present value at the rate of return which depicts the risk in realizing the future cash flows.
- Calculation of terminal value of free cash flows post explicit growth period.
- Addition of present value terminal cash flows and free cash flows during explicit forecast period.

DCF Valuation

	Actual					Explicit Forecast Period									
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
Free Cash Flow to Firm															
EBITDA	1,781	2,172	3,444	4,327	4,712	5,490	6,124	6,782	7,456	8,138	9,114	10,208	11,433	12,805	14,341
Less : Depreciation & Amortization	(451)	(452)	(526)	(598)	(729)	(849)	(969)	(1,089)	(1,209)	(1,329)	(1,449)	(1,569)	(1,689)	(1,809)	(1,929)
EBIT	1,331	1,720	2,917	3,729	3,983	4,641	5,155	5,693	6,247	6,808	7,665	8,639	9,744	10,995	12,412
Less : Tax	(452)	(526)	(886)	(1,201)	(1,199)	(1,160)	(1,288)	(1,424)	(1,563)	(1,705)	(1,920)	(2,164)	(2,441)	(2,755)	(3,110)
EBIT (1-t)	879	1,194	2,032	2,528	2,784	3,481	3,866	4,269	4,684	5,103	5,745	6,474	7,303	8,241	9,302
Add : Depreciation & Amortization	451	452	526	598	729	849	969	1,089	1,209	1,329	1,449	1,569	1,689	1,809	1,929
Cash NOPAT	1,330	1,646	2,558	3,126	3,513	4,330	4,836	5,358	5,893	6,433	7,194	8,044	8,992	10,050	11,232
Less : Reinvestments															
Change in Working Capital	235	(131)	66	388	211	(32)	32	196	72	85	42	47	53	60	67
Capex during the year	(515)	(639)	(673)	(815)	(1,028)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)
Free Cash Flow to Firm	1,050	876	1,951	2,699	2,696	3,098	3,668	4,354	4,765	5,318	6,036	6,891	7,845	8,910	10,099
Discount Period (years)	Mid Year ?	Yes				0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5
Discount Rate (WACC)	12%														
Present Value Factor						0.945	0.844	0.753	0.673	0.601	0.536	0.479	0.427	0.382	0.341
Present Value of Free Cash Flow to Firm						2,928	3,094	3,280	3,205	3,193	3,237	3,299	3,353	3,400	3,441

DCF Calculation - Perpetuity Growth				DCF Calculation - Exit Multiple			
Perpetual Growth Rate	4%	Exit Multiple	21.4x				
Terminal Year FCFF X (1+PGR)	10,541	Terminal Year EBITDA	14,341				
Terminal Value	1,38,312	Terminal Value	3,06,905				
Present Value of Terminal Value	47,129	Present Value of Terminal Value	1,04,576				
Present Value of FCFFs	32,430	Present Value of FCFFs	32,430				
Enterprise Value	79,559	Enterprise Value	1,37,006				
Implied Exit Multiple	6	Implied Exit Multiple	10				
Implied EV/EBITDA	17	Implied EV/EBITDA	29				
Less : Debt	(266)	Less : Debt	(266)				
Add : Cash	267	Add : Cash	267				
Less : Minority Interest	-	Less : Minority Interest	-				
Add : Non Operating Asset	16,014	Add : Non Operating Asset	16,014				
Equity Value	95,573	Equity Value	1,53,020				
Less : Value of Options	(203)	Less : Value of Options	(203)				
Equity Value for Shareholders	95,370	Equity Value for Shareholders	1,52,818				

Market Cap
INR 1,97,490 Crores

Intrinsic Value
INR 95,370 Crores

WACC
12%

Terminal Growth Rate
4%

Terminal Growth%	WACC					
	11%	12%	13%	14%	15%	
	98,018	87,622	79,382	72,706	67,198	95,370
	1,05,445	92,975	83,353	75,720	69,530	
	1,15,348	99,857	88,316	79,404	72,329	
	1,29,212	1,09,033	94,697	84,009	75,749	
Exit Multiple	WACC					
	11%	12%	13%	14%	15%	
	1,45,559	1,36,203	1,27,648	1,19,820	1,12,649	1,52,818
	1,50,881	1,41,089	1,32,139	1,23,950	1,16,451	
	1,56,202	1,45,976	1,36,630	1,28,081	1,20,252	
	1,61,523	1,50,863	1,41,121	1,32,211	1,24,054	
	1,66,845	1,55,750	1,45,612	1,36,342	1,27,856	

Weighted Average Cost of Capital (WACC)

WACC Inputs	
Country	India
Local Currency 10Y Government Bond Yield	6.54%
India's Moodys Sovereign Rating	Baa3
Credit default spread as per Dr Damodaran	2.16%
Implied US Equity Risk Premium	3.73%
Asset Beta	0.72
Asset Beta Variation (+/-)	0.05
Debt to Equity	1.3%

Particulars	Low	Mid	High
Risk Free Rate	4.38%	4.38%	4.38%
Equity Risk Premium	5.89%	5.89%	5.89%
Asset Beta	0.67	0.72	0.77
D/E Ratio	1.25%	1.25%	1.25%
Equity Beta	0.68	0.73	0.78
CAPM Cost of Equity	8.36%	8.66%	8.96%

Small Size Premium	2.50%	2.50%	2.50%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	10.86%	11.16%	11.46%

Pre Tax Cost of Debt	6.99%	6.99%	6.99%
Marginal Tax Rate	25.12%	25.12%	25.12%
Post Tax Cost of Debt	5.23%	5.23%	5.23%

Capital Gearing (D/D+E)	1%	1%	1%
Weighted Average Cost of Capital	10.79%	11.09%	11.38%
Weighted Average Cost of Capital (Rounded)	11.00%	12.00%	12.00%

WACC Inputs	
Debt to Capital (Gearing)	1%
Marginal Tax Rate	25.12%
Company Credit Rating Available?	Yes
Company is Large Firm or Small Firm?	L
Provide Credit Rating	Aaa/AAA
Interest Coverage Ratio	73.3
ICR Based Corporate Default Spread	0.45%
Small Size Premium	0%

Risk Free Rate

We have considered 4.38% as the risk-free rate in estimation of cost of equity of 8.66%. The risk - free rate of India is calculated by considering local currency 10 years government bond yield adjusted for default spread of India.

Asset Beta

We have estimated an asset beta range of 0.67 to 0.77, with a mid point of 0.72 based on observed median 5-year monthly asset beta of benchmark listed companies adjusted for Blume effect.

Equity Risk Premium

An ERP of 5.89% has been adopted based on US implied equity risk premium, relative equity volatility of ICE BoFA Public Sector Issues Emerging Markets Index, S&P Emerging BMI Index and country risk premium of India.

Cost of Debt

For the purpose of assessing the cost of debt, we have used country's risk-free rate, country's default spread and corporate default spread based on company's debt rating and interest coverage ratio.

Small Size Premium

Empirically small sized assets have exceeded the returns as compared to large sized assets. We have used the study on size premium conducted by Incwert which is based on difference between actual returns and CAPM expected returns arranged in decile basis market capitalization of Indian Companies.

Beta Analysis

Eicher Motors
Beta Analysis - 2 Years Weekly

Company Name	Ticker	No. of Weekly Observations	Market Cap (in Crs.)	Asset Beta	2 years avg D/E	Equity beta	2 years avg D/D+E	Considered?
Bajaj Auto	NSE: BAJAJ-AUTO	104	2,51,827	0.95	16%	1.07	13%	Y
TVS Motors	NSE: TVSMOTOR	104	1,64,107	0.25	352%	0.90	77%	Y
Hero Motorcorp	NSE: HEROMOTOCO	104	1,20,299	1.28	2%	1.30	2%	Y
Mahindra & Mahindra Ltd	NSE: M&M	104	4,60,522	0.55	127%	1.07	55%	Y
Ashok Leyland Ltd	NSE: ASHOKLEY	104	85,048	0.15	430%	0.63	80%	N
Median - Broad Set				0.55	127.0%	1.07	55.0%	
Average - Broad Set				0.64	185.4%	0.99	45.4%	
Median - Considered Set				0.75	71.6%	1.07	34.0%	
Average - Considered Set				0.76	124.3%	1.09	36.8%	

Beta Analysis - 5 Years Monthly

Company Name	Ticker	No. of Monthly Observations	Market Cap (in Crs.)	Asset Beta	5 years avg D/E	Equity beta	5 years avg D/D+E	Considered?
Bajaj Auto	NSE: BAJAJ-AUTO	60	2,51,827	1.02	6%	1.07	5%	Y
TVS Motors	NSE: TVSMOTOR	60	1,64,107	0.26	332%	0.90	76%	Y
Hero Motorcorp	NSE: HEROMOTOCO	60	1,20,299	1.28	2%	1.30	2%	Y
Mahindra & Mahindra Ltd	NSE: M&M	60	4,60,522	0.50	153%	1.07	59%	Y
Ashok Leyland Ltd	NSE: ASHOKLEY	60	85,048	0.17	371%	0.63	78%	N
Median - Broad Set				0.50	153.0%	1.07	59.0%	
Average - Broad Set				0.65	172.8%	0.99	44.0%	
Median - Considered Set				0.76	79.5%	1.07	32.0%	
Average - Considered Set				0.77	123.3%	1.09	35.5%	

Blume Beta Analysis - 5 Years Monthly

Company Name	Ticker	No. of Monthly Observations	Market Cap (in Crs.)	Asset Beta	5 years avg D/E	Equity beta	5 years avg D/D+E	Considered?
Bajaj Auto	NSE: BAJAJ-AUTO	60	2,51,827	0.96	6%	1.01	5%	Y
TVS Motors	NSE: TVSMOTOR	60	1,64,107	0.26	332%	0.90	76%	Y
Hero Motorcorp	NSE: HEROMOTOCO	60	1,20,299	1.14	2%	1.15	2%	Y
Mahindra & Mahindra Ltd	NSE: M&M	60	4,60,522	0.47	153%	1.01	59%	Y
Ashok Leyland Ltd	NSE: ASHOKLEY	60	85,048	0.19	371%	0.73	78%	N
Median - Broad Set				0.47	153.0%	1.01	59.0%	
Average - Broad Set				0.60	172.8%	0.96	44.0%	
Median - Considered Set				0.72	79.5%	1.01	32.0%	
Average - Considered Set				0.71	123.3%	1.02	35.5%	

We are taking 0.72 as asset beta of automobile industry (2/3 wheelers)

Relative Valuation

In INR Crores

Market Data																Financials									Multiples								
Relative Valuation	Ticker	Share Price	Market Cap	Debt	Cash	Enterprise Value	Sales	Sales	Sales	EBITDA	EBITDA	EBITDA	PAT	PAT	PAT	EV/Sales	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	EV/EBITDA	PE	PE	PE	EV/Sales	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	EV/EBITDA	PE	PE	PE
Eicher Motors	NSE: EICHERMOT	7,217	1,97,993	446	263	1,98,176	18,870	21,701	24,793	4,712	5,490	6,273	4,734	5,287	5,941	10.5x	9.1x	8.0x	42.1x	36.1x	31.6x	41.8x	37.5x	33.3x									
Bajaj Auto	NSE: BAJAJ-AUTO	9,048	2,52,730	19,693	2,848	2,69,575	50,995	60,148	67,449	10,468	12,034	13,765	7,325	9,626	10,750	5.3x	4.5x	4.0x	25.8x	22.4x	19.6x	34.5x	26.3x	23.5x									
TVS Motor Co.	NSE: TVSMOTOR	3,448	1,63,936	16,862	4,386	1,76,412	44,089	40,595	49,467	6,649	5,464	6,609	2,380	3,421	4,236	4.0x	4.3x	3.6x	26.5x	32.3x	26.7x	68.9x	47.9x	38.7x									
Hero Motocorp	NSE: HEROMOTOCO	6,082	1,21,663	718	574	1,21,807	40,923	43,001	45,740	5,946	6,126	6,454	4,376	5,175	5,760	3.0x	2.8x	2.7x	20.5x	19.9x	18.9x	27.8x	23.5x	21.1x									
M & M	NSE: M&M	3,669	4,56,467	1,26,709	20,615	5,62,561	1,59,211	1,80,172	1,99,947	30,518	32,874	36,528	14,073	16,056	18,288	3.5x	3.1x	2.8x	18.4x	17.1x	15.4x	32.4x	28.4x	25.0x									
High																5.3x	4.5x	4.0x	26.5x	32.3x	26.7x	68.9x	47.9x	38.7x									
75th Percentile																4.3x	4.4x	3.7x	25.9x	24.9x	21.4x	43.1x	33.3x	28.4x									
Average																3.9x	3.7x	3.3x	22.8x	22.9x	20.1x	40.9x	31.5x	27.1x									
Median																3.8x	3.7x	3.2x	23.1x	21.1x	19.2x	33.5x	27.3x	24.2x									
25th Percentile																3.4x	3.0x	2.8x	20.0x	19.2x	18.0x	31.3x	25.6x	22.9x									
Low																3.0x	2.8x	2.7x	18.4x	17.1x	15.4x	27.8x	23.5x	21.1x									

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EV/EBITDA			EV/SALES			PE		
Sales	18,870		Sales	18,870		Sales	18,870	
EBITDA	4,712		EBITDA	4,712		EBITDA	4,712	
Earnings	4,734		Earnings	4,734		Earnings	4,734	
Valuation Multiple	EV/EBITDA		Valuation Multiple	EV/Sales		Valuation Multiple	Price/Earnings	
EV/EBITDA	23.1x		EV/Sales	3.8x		Price/Earnings	33.5x	
Enterprise Value	1,08,937		Enterprise Value	71,091		Equity Value	1,58,457	
Less : Debt	(266)		Less : Debt	(266)		Less : Debt	-	
Add : Cash	267		Add : Cash	267		Add : Cash	-	
Less : Minority Interest	-		Less : Minority Interest	-		Less : Minority Interest	-	
Add : Non Operating Asset	16,014		Add : Non Operating Asset	16,014		Add : Non Operating Asset	-	
Equity Value	1,24,951		Equity Value	87,106		Equity Value	1,58,457	
Less : Value of Options	(203)		Less : Value of Options	(203)		Less : Value of Options	-	
Equity Value for Shareholders	1,24,748		Equity Value for Shareholders	86,903		Equity Value for Shareholders	1,58,457	

Comparable Companies Description

Comparable Companies	Description
NSE: BAJAJ-AUTO	Bajaj Auto, the flagship company of Bajaj Group, is a two-wheeler and three-wheeler manufacturing company that exports to 79 countries across several countries in Latin America, Southeast Asia, and many more. Its headquarter is in Pune, India. It has acquired 48% of the KTM Brand which manufactures sports and super sports two-wheelers, which was 14% in 2007 when the company first acquired KTM.
NSE: TVSMOTOR	TVS Motor Company Ltd (TVSM) is engaged in manufacturing two-wheelers and its accessories. It is one of the leading players in the two-wheeler industry and is the only company to have a presence in all the three categories, i.e., motorcycles, scooters, and mopeds, catering to both domestic and international markets. TVSM is also the only company to have a presence in the moped segment for the domestic market.
NSE: HEROMOTOCO	Hero Moto Corp earlier also known as “Hero Honda” is one of India’s first motorcycle manufacturers. It is the world’s largest manufacturer of 2 Wheelers, in terms of unit volumes sold by a single company in a calendar year, for more than 2 decades. The overall market share of the co. in the indian motorcycle market is 48% and in the two-wheeler segment stands at 34 % as of FY22.
NSE: M&M	Mahindra & Mahindra Ltd is one of the most diversified automobile company in India with presence across 2-wheelers, 3-wheelers, PVs, CVs, tractors & earthmovers. It also has presence across financial services, auto components, hospitality, infrastructure, retail, logistics, steel trading and processing, IT businesses, agri, aerospace, consulting services, defence, energy and industrial equipment through its subsidiaries and group companies.

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Relative Valuation - Benchmarking

In the two – wheeler segment, we found four companies that are publicly listed companies and are into the similar business as that of Eicher Motors and hence, we have used these companies as the benchmark.

Summary						
	2021	2022	2023	2024	2025	Historical Average
Average Revenue Growth	0.0%	15.4%	22.8%	17.7%	12.3%	13.7%
Average EBITDA Margins	14.5%	13.6%	14.8%	16.3%	16.7%	15.2%
Average EBIT Margins	11.8%	11.1%	12.5%	14.2%	14.5%	12.8%
Average PBT Margins	10.9%	12.0%	12.6%	13.6%	13.6%	12.5%
Average PAT Margins	8.0%	9.4%	9.6%	10.1%	9.8%	9.4%
Median Revenue Growth	0.8%	20.4%	23.4%	18.6%	13.1%	18.6%
Median EBITDA Margins	14.3%	13.6%	14.7%	16.0%	16.8%	14.7%
Median EBIT Margins	10.9%	10.5%	11.5%	13.2%	13.9%	11.5%
Median PBT Margins	8.3%	10.4%	11.5%	12.5%	13.2%	11.5%
Median PAT Margins	6.3%	8.0%	8.8%	9.4%	9.8%	8.8%

Revenue Growth					
in %	2021	2022	2023	2024	2025
Bajaj Auto	-7.3%	19.5%	10.0%	23.1%	13.7%
TVS Motors	3.0%	25.4%	31.3%	22.4%	12.6%
Hero Motorcorp	5.8%	-4.6%	15.6%	10.6%	8.3%
Mahindra & Mahindra Ltd	-1.5%	21.4%	34.5%	14.7%	14.5%
Mean	0.0%	15.4%	22.8%	17.7%	12.3%
Median	0.8%	20.4%	23.4%	18.6%	13.1%

EBITDA Margin					
in %	2021	2022	2023	2024	2025
Bajaj Auto	17.8%	15.9%	17.7%	19.5%	18.7%
TVS Motors	11.5%	11.3%	12.6%	14.1%	14.9%
Hero Motorcorp	13.1%	11.0%	12.0%	13.9%	14.1%
Mahindra & Mahindra Ltd	15.5%	16.3%	16.7%	17.9%	19.2%
Mean	14.5%	13.6%	14.8%	16.3%	16.7%
Median	14.3%	13.6%	14.7%	16.0%	16.8%

EBIT Margin					
in %	2021	2022	2023	2024	2025
Bajaj Auto	16.9%	15.1%	16.9%	18.7%	17.9%
TVS Motors	8.6%	8.3%	9.9%	11.6%	12.5%
Hero Motorcorp	10.8%	8.7%	10.0%	11.8%	12.1%
Mahindra & Mahindra Ltd	10.9%	12.4%	13.1%	14.5%	15.4%
Mean	11.8%	11.1%	12.5%	14.2%	14.5%
Median	10.9%	10.5%	11.5%	13.2%	13.9%

PBT Margin					
in %	2021	2022	2023	2024	2025
Bajaj Auto	22.5%	23.1%	21.5%	22.4%	20.0%
TVS Motors	4.2%	4.4%	6.1%	6.9%	8.0%
Hero Motorcorp	12.4%	10.3%	11.3%	13.5%	14.5%
Mahindra & Mahindra Ltd	4.3%	10.4%	11.6%	11.5%	12.0%
Mean	10.9%	12.0%	12.6%	13.6%	13.6%
Median	8.3%	10.4%	11.5%	12.5%	13.2%

PAT Margin					
in %	2021	2022	2023	2024	2025
Bajaj Auto	17.5%	18.6%	16.6%	17.2%	14.4%
TVS Motors	3.1%	3.0%	4.1%	4.5%	5.4%
Hero Motorcorp	9.5%	7.9%	8.2%	9.9%	10.7%
Mahindra & Mahindra Ltd	2.0%	8.0%	9.4%	8.8%	8.8%
Mean	8.0%	9.4%	9.6%	10.1%	9.8%
Median	6.3%	8.0%	8.8%	9.4%	9.8%

Ratio Analysis

	Actual					Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Liquidity Ratios										
Current Assets	8,807	5,613	3,650	4,146	6,958	8,604	10,085	11,564	12,631	13,543
Current Liabilities	2,629	2,893	3,235	3,598	4,266	4,749	5,227	5,750	6,320	6,932
Current Ratio	3.4x	1.9x	1.1x	1.2x	1.6x	1.8x	1.9x	2.0x	2.0x	2.0x
Current Assets	8,807	5,613	3,650	4,146	6,958	8,604	10,085	11,564	12,631	13,543
Inventory	875	1,132	1,278	1,410	1,564	1,784	2,038	2,313	2,608	2,921
Prepaid Expenses	-	-	-	-	-	-	-	-	-	-
Current Liabilities	2,629	2,893	3,235	3,598	4,266	4,749	5,227	5,750	6,320	6,932
Quick Ratio (Acid Test)	3.0x	1.5x	0.7x	0.8x	1.3x	1.4x	1.5x	1.6x	1.6x	1.5x
Inventory Days	37	36	30	30	29	30	30	30	30	30
Debtor Days	7	11	9	8	11	12	12	10	10	10
Creditor Days	108	110	80	85	90	90	90	90	90	90
Cash Conversion Cycle	(65)	(63)	(41)	(47)	(50)	(48)	(48)	(50)	(50)	(50)
Leverage Ratios / Solvency Ratios										
Total Debt	157	59	196	276	266	369	366	352	325	284
Total Equity	11,438	12,608	14,990	18,046	21,296	23,676	26,007	28,250	30,002	31,528
Debt to Equity Ratio	1.4%	0.5%	1.3%	1.5%	1.3%	1.6%	1.4%	1.2%	1.1%	0.9%
Total Debt	157	59	196	276	266	369	366	352	325	284
Total Assets	14,557	16,134	19,164	23,123	27,178	30,073	32,858	35,587	37,857	39,928
Debt to Assets Ratio	1.1%	0.4%	1.0%	1.2%	1.0%	1.2%	1.1%	1.0%	0.9%	0.7%
Total Equity	11,438	12,608	14,990	18,046	21,296	23,676	26,007	28,250	30,002	31,528
Total Assets	14,557	16,134	19,164	23,123	27,178	30,073	32,858	35,587	37,857	39,928
Equity Ratio	78.6%	78.1%	78.2%	78.0%	78.4%	78.7%	79.2%	79.4%	79.3%	79.0%
Profitability / Margins Ratios										
Gross Profit	3,608	4,342	6,230	7,555	8,573	9,765	11,008	12,325	13,707	15,138
Total Sales	8,720	10,298	14,442	16,536	18,870	21,701	24,793	28,140	31,728	35,536
Gross Margins	41.4%	42.2%	43.1%	45.7%	45.4%	45.0%	44.4%	43.8%	43.2%	42.6%
EBITDA	1,781	2,172	3,444	4,327	4,712	5,490	6,124	6,782	7,456	8,138
Total Sales	8,720	10,298	14,442	16,536	18,870	21,701	24,793	28,140	31,728	35,536
EBITDA Margins	20.4%	21.1%	23.8%	26.2%	25.0%	25.3%	24.7%	24.1%	23.5%	22.9%
EBIT	1,331	1,720	2,917	3,729	3,983	4,641	5,155	5,693	6,247	6,808
Total Sales	8,720	10,298	14,442	16,536	18,870	21,701	24,793	28,140	31,728	35,536
EBIT Margins	15.3%	16.7%	20.2%	22.6%	21.1%	21.4%	20.8%	20.2%	19.7%	19.2%
Net Profit	1,347	1,677	2,914	4,001	4,734	5,287	5,830	6,407	7,010	7,630
Total Sales	8,720	10,298	14,442	16,536	18,870	21,701	24,793	28,140	31,728	35,536
Net Profit Margins	15.4%	16.3%	20.2%	24.2%	25.1%	24.4%	23.5%	22.8%	22.1%	21.5%
Net Income	1,347	1,677	2,914	4,001	4,734	5,287	5,830	6,407	7,010	7,630
Total Assets	14,557	16,134	19,164	23,123	27,178	30,073	32,858	35,587	37,857	39,928
Return on Assets	9.3%	10.4%	15.2%	17.3%	17.4%	17.6%	17.7%	18.0%	18.5%	19.1%
Net Income	1,347	1,677	2,914	4,001	4,734	5,287	5,830	6,407	7,010	7,630
Total Equity	11,438	12,608	14,990	18,046	21,296	23,676	26,007	28,250	30,002	31,528
Return on Equity	11.8%	13.3%	19.4%	22.2%	22.2%	22.3%	22.4%	22.7%	23.4%	24.2%

Disclaimer

- The considered base year while preparing this valuation report is FY2025.
- The report has been prepared solely for educational purpose and not emanating from the professional in practice.
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